

BA Speech
AM Press Conference, ESTC
New York City
06/26/86

(Introduction of Mr. Appel by Gattis)

Thank you, Bill.

Good Morning.

Let me add my words of welcome on behalf of Radio Shack to all of you here today for this special announcement. We appreciate your taking the time to be with us. I believe you will find the concept we present here today to be truly exciting.

There's no question that the growing uses of the computer in our lives will continue to impact the way in which our children are educated. But let me take a few minutes to talk about Radio Shack and what the company represents today.

We have approximately 7000 stores and dealers throughout the United States. We are one of the most profitable retailers in the nation.

In the last 12 months, nearly 30 million customers have shopped in Radio Shack U.S.A. stores. I believe that we are the only major retailer in the world to obtain the names and addresses, and keep track of our cash customers - no matter what the size of their purchase might be.

We see ourselves as "The Technology Store." As a distribution system for the products of technology, we occupy an exciting marketing role. Almost everything we sell has been the latest thing in technology sometime in the last 60 years. Often our engineering and manufacturing teams are the innovators of the technology, but we are not limited by our own ingenuity and we sell products developed by other electronic innovators. Our product line includes advanced electronic products, such as:

- * The new Compact Disk (C.D.) digital audio player, using the latest in laser technology for optical/digital sound reproduction.
- * Cellular radio systems using computer-switching technology and multiple-broadcast "cells" to permit a network of mobile telephone systems installed in automobiles. Mobira, a subsidiary of Nokia in Helsinki, Finland, is a partner with Tandy in the joint design and manufacture of these systems.
- * Home satellite antennas, for home reception of television signals broadcast from satellite earth stations.

Consumer electronics is exciting but product alone is not always the answer.

The question has often been asked in the press as to "How the public perceives" and "What the consumer thinks" about Radio Shack.

About 18 months ago we began a push on cleaning up our stores and the departmentalization of our product line in a manner that would make it more conducive for women, up-scale customers and those interested in higher ticket merchandise to shop in our stores. The improvements have been a significant factor in the recent months of double-digit sales gains in the test stores.

We've been pleased and encouraged with the results and we're embarking on a five year, 80 million dollar renovation. We are creating a look that we're calling the "Technology Store". The technology store design improves appearance and merchandising flexibility and will contribute to sales growth into the 1990's. Hundreds of stores have already been renovated through this ambitious program. We will complete three more stores every business day throughout 1987.

How do we keep up with it all? Many people are not aware that computers are used to run our Radio Shack stores. (Our salesmakers are all cash registers.)

In July 1982, we implemented a new system where all retail stores transmitted financial data each day to Fort Worth by use of our TRS-80 Model 3 computer and leased telephone lines.

This system, which we call the "S.O.S.," is menu driven and in its first version was very similar to filling out on the computer the manually done paper forms that were mailed to Fort Worth.

We estimate that the S.O.S. saves us approximately \$3 million per year (primarily in payroll and fringe benefit costs) over the cost of the previous manual system.

*Upgraded
10/10/82*

Today, we have 1235 "Plus Computer Centers" where our computer products, including most of the business computer line, can be found. These Centers are located within a full-line Radio Shack store and are staffed with trained computer salesmakers.

Our full line of computers can be found in over 490 Radio Shack Computer Centers. These Computer Centers specialize in support to business and education through fully equipped training facilities, leasing and service plans.

Radio Shack also uses computer technology to streamline and automate our warehousing operations. Computer-controlled order transmissions, direct to six automated regional warehouses in the U.S., have greatly improved the efficiency of these operations within the past year. Another facility incorporates an automatic sorting system controlled by a Tandy 2000, and uses a laser bar-code scanner to read carton labels and to route cartons to a pre-assigned assembly point where the cartons are counted and weighed automatically before being loaded onto a waiting truck.

On a broader scope, let me touch on Tandy for a few moments. (Most people accuse me of saying "Tandy --- A Division of Radio Shack.")

Tandy Corporation is a large, international manufacturer, distributor, and marketer of electronics for home, education, business, and industry, with annual sales of over \$3 billion, including Radio Shack, and worldwide employment of approximately 30,000 people.

You may have seen in the newspaper a couple of weeks ago, an article announcing Tandy's plan to spin off our international retail operations into a separate company. Those operations will include our Canadian, Australian, UK, France, Belgium, West Germany and the Netherlands stores and dealers. This new company called InterTAN will show about 400 million dollars in sales this year and is marginally profitable. We believe that with it's own management group, this new company will have excellent sales and profit potential.

We operate two major research and development centers: one in Fort Worth, Texas, and one in Tokyo, Japan. The Fort Worth facility concentrates primarily on the development of computer hardware and software systems, and recent accomplishments include the advanced Tandy 3000 computer system with a 16/32-bit architecture, incorporating the latest generation microprocessor.

Our recent developments by Tandy research and development include the DeskMate multi-function software program, and the new high-performance ViaNet and Network 4 computer networking systems for office and classrooms.

Tandy/Radio Shack is a major international manufacturer of technology-based products, with 31 factories in the United States, Canada, Japan, Korea, and Taiwan. In addition, Tandy participates in three manufacturing joint ventures. Products manufactured or assembled in company-owned factories represent over 40% of the items listed in the 1986 Radio Shack catalog.

Radio Shack was involved in the microcomputer business very early -- and the impact of computers on our business has been very substantial and very far reaching. By now every new computer and accessory we sell are branded "Tandy." Buy a "Tandy" computer product at a Radio Shack store or dealer and get clearly superior technology, service and support.

Obviously the computer part of our business has been a significant contributor to the growth of Tandy Corporation's sales over the past eight years. It is a substantial part of our business.

No doubt the industry has undergone a very difficult year. It's been well publicized as growth rates and prices have declined. Our own year has seen a significant transition into a predominantly 16-bit world with the MS-DOS operating system.

Over a year ago we introduced the Tandy 1000 with DeskMate in our Computer Centers and the computer departments of selected stores. The 1000 stirred up a lot of excitement in the industry. INFOWORLD called it "magnificent." CREATIVE COMPUTING wrote that the 1000 is "the machine IBM was too inept, incapable, or afraid to manufacture." And POPULAR COMPUTING said, "Clearly the Tandy 1000 wins this battle in the computer marketing war."

And very recently - just a couple of months ago - we received the following from a leading computer magazine who wrote up the 1000. Let me quote:

"Congratulations! Of more than 2,500 products looked at during the year, yours has been selected as one of the favorites by the editors."

They actually said in the listing:

"The Tandy 1000 - An affordable IBM compatible - It is a serious computer that has been intelligently engineered and backed by a company recognizable to a broad base of consumers."

We introduced the 1000 at \$1199 - went to \$999 in June of 1985, and put it into all Radio Shack stores. We began to advertise in our regular flyer program and sales are great. We've recently lowered this same machine to \$699.00.

It's being said that the 1000 is the best selling IBM compatible in North America and we believe that we are outselling the IBM PC in the retail market.

Now let's take a couple of minutes to look specifically at Radio Shack's role in education, since our announcement today concerns computers and education.

Looking back to 1980, we realized that in order to meet the demand for computers not only in the consumer market, but also in the education market and in the market for computers in business applications, we had to grow in areas outside our traditional retail electronics business. We realized the need for telemarketing, as a vehicle to make appointments and sell to industry.

In 1980, we established the Education Division to address the institutional educational market -- another market that is decidedly not a retail market -- and we established a team in Fort Worth consisting of professionals in education and in educational marketing to go after that market in schools and on college campuses.

And we've been successful. We've been very successful. What's amazing is that we've achieved that success in the schools without the suicidal pricing and reckless giveaway programs that some of our competitors have engaged in. Our educational business is profitable and it's built on a foundation of long term service and support to educational customers. It's built on a long term commitment to a market that we believe in, that we believe is a good profitable business, and that we believe is good for our business over the long term, because those young people in schools grow up and graduate and become consumers in their own right.

The education market is a different market from Radio Shack's traditional retail business. Our retail management has had to make some adjustments -- to learn some new wrinkles -- to understand the business of selling to schools.

- * In the retail business, a newspaper advertisement that runs in tonight's paper produces results in our stores tomorrow.
- * In the education business, the results of magazine advertising are keyed to school buying cycles. An advertisement may result in a sale weeks -- or months -- after it appears.
- * In the retail business, one person makes a buying decision, and that decision may take five or ten minutes.
- * In the education market for computer hardware, one person almost never makes a buying decision. Committees, and evaluations, and board approvals are involved. A sale may take several months to conclude, and from the point a school is "sold" it may take as much as several more months before we actually receive a purchase order and can deliver the equipment. We recently concluded a sale totalling over \$2-1/2 million dollars in one major school district -- and it took a year of effort on the part of our Education Division to secure that business. And within three weeks of completing that delivery, we started to work with that district, at their request, on their plans for the next purchase of computers -- a sale that won't happen for 12 more months. These longer buying cycles for computer hardware are becoming more common.

- * In the retail business, a consumer may want the best stereo system money can buy -- and be willing to pay for it.
- * It's almost impossible for a school district to buy a "Cadillac," or even a "Buick." In a school bid for computers, the low price for a bid meeting specifications wins. Hopefully educators have the foresight to specify a fully supported product in their bid requests -- and not just buy based strictly on price.

These are some examples of the differences between the retail business and the education market. Some of our managers have had to make some adjustments in their instinct and learn some new methods when it comes to the educational part of our computer business.

Radio Shack is a supplier of computers to a large cross-section of users in business, in scientific applications, and in industry. Some examples of specific users and applications include:

- * The United States Department of Agriculture, Soil Conservation Service, is using Tandy Models 11, 12, 16, and 2000 in addition to the Tandy VIS and Multiplexor peripheral products for office automation and information dissemination from their National Headquarters to 13 states, as well as at regional and local levels.

- * Nearly 100 School Districts every month are choosing the Tandy 1000 for it's affordable price and superior performance. For example, the nation's third largest school system, the Chicago Public School District, has made a committment to Tandy computers, with an opening purchase of 691 Tandy 1000's in May 1986.
- * General Motors Corporation has acquired more than 1000 Tandy computers for use by their national sales force in placing orders and keeping track of customer status information.
- * Ford Motor Corporation uses several hundred Tandy computers in company headquarters administrative offices.
- * United Technologies/Carrier Division has purchased over \$8 million dollars in Tandy computer equipment to date for use in planning air conditioning systems for residential and business properties.
- * The Coca Cola Corporation is using several hundred Tandy computers for word processing and other administrative duties.
- * Dresser Industries is making extensive use of Tandy Model 16 Xenix systems for regional administration.
- * Journalists across the nation use our Model 100's extensively in writing and transmitting news stories. It's nearly impossible to attend a national news conference without seeing the original laptop - the Model 100.

- * Government agencies and contractors have often chosen Tandy equipment. The Social Security Administration recently purchased a number of Tandy 2000's along with Multimate word processing software. Ford Aerospace recently purchased a quantity of Tandy 3000's for use on a project for NASA. Over the past 3 years or so, the Pentagon has purchased hundreds of our Model 16B and 6000 multi-user computers for use with the Army's Tactical Operations Software.
- * The Los Alamos National Laboratory has developed interfacing and software for the Tandy Color Computer to allow its use as a programmable intelligent radiation monitor.
- * We've just delivered \$1 million dollars worth of Model 4 computers and Network 4 systems to the Worcester, Massachusetts, schools.
- * And, in December, we completed the delivery and installation of over 2000 Tandy 1000 computers to the New York City Schools, representing our largest single educational sale to date.

Those are just a very few examples illustrating the extensive use that major industrial and educational concerns are making of Tandy designed and manufactured computers and equipment. Radio Shack, with its unique vertical integration and support structure, continues to be the best alternative for most computer users. Our dedication to technology, service and support makes us the best value in the marketplace. We remain totally committed to being a major factor in the computer business.

And now I want to conclude with a few words about our announcement today -- which we at Radio Shack rank as one of the most significant announcements about one of the most significant new efforts in the eight year history of our involvement in the education market for computers and instructional software.

In a few minutes, Cecil Hannon, Chairman of Education Systems Technology Corporation, is going to describe the courseware, and the instructional management capabilities, of what is certainly an exciting product.

Our agreement with ESTC is a joint marketing agreement in which our Radio Shack Education Division and its resources of twenty senior educational sales people, and over 100 Educational Marketing Specialists, will devote a substantial amount of their efforts to selling this system into the schools of America.

I can tell you that the schools that have seen this system have been very impressed with its capabilities -- we're having a very exciting reaction to the system. ESTC has done their homework, they have the right product at the right time for this market.

But there is another aspect to our agreement with ESTC -- one that is perhaps the most unique and most significant part of this joint effort. And that is specifically that, under the terms of our agreement, both Radio Shack and ESTC have agreed to support this integrated learning system as an "open" system. By that we mean that, unlike some of the other integrated systems being sold today that are "closed" -- that can't be used with software other than from the developer -- ESTC and Radio Shack are undertaking to support other publishers' software on the systems we install in schools, and to provide technical information and assistance to those publishers and software developers in accomplishing that end.

We believe that this is an important commitment for us and for ESTC -- we believe that it will begin to address in a significant way the need for more quality software for use in schools -- and we believe that it supports our belief that the major source of quality software for use in schools must -- and will -- come from the experts, the educational publishers and developers, who have traditionally supplied instructional materials for our classrooms.

Thank you for your attention and let me present Mr. Cecil Hannon